

CAPITAL MARKETS

The Deal Looked Like a Sale. It Was a Risk-Allocation Decision.

A 72%-occupied retail center traded. The real story is what the lender agreed to finance.

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A source-grounded Light Tower Insight. The complete note follows.

Prairieville, Louisiana, is not a market that makes headlines. It is a market where capital makes decisions. The sale of Commerce Centre, a 33,744-square-foot multi-tenant retail property at 72 percent occupancy, looks like a routine transaction. It is not. It is a case study in how lenders are allocating risk in secondary retail, and what they are willing to underwrite when the alternative is a vacant building and a workout.

The deal closed. That is the headline. The market signal is what the lender agreed to finance, and what the buyer agreed to accept. A 72 percent occupied retail center built in 2015, with 15 suites, on four acres, 15 miles southeast of Baton Rouge. The seller was a local owner. The buyer was an East Coast-based investor. Marcus & Millichap marketed the property. The price was not disclosed. The cap rate was not disclosed. The loan terms were not disclosed. But the occupancy number tells the story.

A credit committee looking at this deal would have to answer one question: What is the probability that this asset reaches stabilized occupancy within the loan term? The answer is not a vote of confidence. It is a risk-allocation choice. The lender is betting that the buyer can lease up the remaining 28 percent of the space before the debt matures, or that the buyer has the equity to carry the vacancy. The buyer is betting that the rent roll can support the debt service at current occupancy, and that the market will absorb the vacant suites at rents that justify the basis.

That is the tension. The deal looks like a sale. It is a risk-allocation decision between a lender who said yes and a buyer who accepted the terms. The lender did not say yes because the asset is perfect. The lender said yes because the alternative was a no, and a no would have left the seller holding a property that could not trade. The lender is not expressing confidence. The lender is expressing a willingness to underwrite a recovery.

The buyer is an East Coast-based investor. That matters. An out-of-market buyer is not buying local knowledge. The buyer is buying a basis that allows for a margin of error. The buyer is betting that the 72 percent occupancy is the floor, not the ceiling. The buyer is also betting that the lender will extend the loan if the lease-up takes longer than expected. That is the hidden assumption in every

secondary-market retail deal today: the lender will be patient because the alternative is a foreclosure that no one wants.

The seller is a local owner. The seller is selling at 72 percent occupancy. That is not a sign of distress. It is a sign of liquidity preference. The seller could hold the asset and lease it up. The seller chose to sell. The seller is buying time, not selling a problem. The seller is saying: I will take my equity out now, and let someone else underwrite the recovery. That is a rational decision when the cost of carry exceeds the expected return from leasing up the vacancy.

The broker team from Marcus & Millichap marketed the property. The broker of record is Steve Greer. The deal closed. That is the reported fact. The interpretation is that the market for secondary retail is not frozen. It is selective. It is pricing risk on a deal-by-deal basis, not on a sector-wide basis. A 72 percent occupied center in Prairieville can trade. A 50 percent occupied center in a similar market might not. The difference is not the asset. The difference is the lender's willingness to underwrite the vacancy.

What should a market participant test next? An owner with a similar asset should test the bid. The bid will be low. The bid will reflect the cost of capital and the cost of vacancy. But the bid will exist. A lender with exposure to secondary retail should test the borrower's equity. The borrower's equity is the buffer. If the borrower has equity, the lender can extend. If the borrower does not, the lender faces a choice between a workout and a foreclosure. A buyer looking at secondary retail should test the lender's patience. The lender's patience is the real asset. The building is just the collateral.

The deal is not proof that retail is back. It is proof that capital is available for assets that can be underwritten to a recovery. The recovery may take time. The recovery may require additional equity. But the recovery is possible. That is what the lender agreed to finance. That is what the buyer agreed to accept. That is the market signal.

SOURCES

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<https://shoppingcenterbusiness.com/marcus-millichap-brokers-sale-of-33744-square-foot-multi-tenant-retail-property-in-metro-baton-rouge-louisiana/>

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